Life application: Student loans

Student loans are a fact of life for many students, yet many students don't have a good grip on 1) how much they owe, 2) the interest rate associated with the loans, and 3) the impact the debt will have on their future finances.

If you have student debt, now is the time to learn as much as you can about it so that you can plan for how you will eventually pay it off.

While many people try to avoid thinking about debt, having your "head in the sand" won't help. Remember, "knowledge is power". You CAN tackle this debt, but only if you recognize its existence and plan accordingly. The good news is that life-time earnings, for most people, is much greater with a college degree. In the end, a reasonable amount of student debt is usually worth it. NOTE: Unless you earn over about $80,000 per year, you'll also get to deduct up to $2,500 per year in student debt interest on your tax return, making the cost of student debt much cheaper than it would be without the tax break.

Life application task

Key objective: Examine the features of your student loans and the estimate the impact the debt will have on your future finances

Resource: If you don't know what student loans you have, or how to find them, check the following resources:

CWRU financial aid: https://case.edu/financialaid/resources/loans

All federal loans: https://studentaid.gov/fsa-id/sign-in/landing

More tips: https://www.thebalance.com/how-do-i-find-my-student-loan-balance-795348

1) Fill out the first FOUR columns on the table(s) on the next page.

2) Once you have filled out the first FOUR columns, calculate your monthly loan repayment. Use the following student loan calculator to find the monthly payment and the total amount of interest you'll pay under the "standard repayment plan" of 10 years (120 months) for federal loans. Adjust the interest rate as needed. If you have several loans at the same interest rate, you may group them together before calculating the monthly payment. https://www.bankrate.com/calculators/college-planning/loan-calculator.aspx

NOTE: I know this is very personal information, so if you don't feel comfortable submitting your real answers, I understand. To get credit for doing this activity, you may keep the real answers for your own knowledge but submit a fictious scenario in its place.

****Federal Loan number in chart**: This is for YOU, not ME and I want to make sure your privacy is protected. Therefore, only list the last few digits, or #1, #2, etc., in the first column so that your full account number is NOT on this page.

***** Interest rates in the chart**: The rate you pay depends on the academic year when the loan **was first disbursed**. For example, Federal loans disbursed for the 2021-2022 academic year have an interest rate of 3.73%. Interest rates on loans first disbursed for **earlier academic years** can be found at this website: https://studentaid.gov/understand-aid/types/loans/interest-rates#older-rates. Finally, if you would like to learn more about the interest on your federal loans, see this website: https://studentaid.gov/understand-aid/types/loans/interest-rates#rates

Table 1: Federal loans

Federal loan **	Subsidized* or Unsubsidized?	Dollar Amount	Interest rate***	Monthly loan payment using standard 120-month payback	Total interest paid
#1 - F24	Subsidized	4,500	4.228	46.05	1,025.94
#2 – S25	Unsubsidized	2,000	4.228	20.47	455.97

*Subsidized = interest does not accrue until 6 months after you leave school. The federal government is picking up the tab on your interest until then.

Table 2: Private loans – I have none

Private loans (list lender)	Co-signed?	Dollar Amount	Interest rate	Monthly loan payment using standard- 120 month payback	Total interest paid

3) What is the TOTAL monthly payment on all loans, using the 10 – year payback period? 46.05+20.47=$66.52. Save this figure for use in the personal budget life application activity coming up towards the end of the course.

4) Notice the "ADD EXTRA PAYMENTS" link directly below the "Calculate" button on student loan calculator you used above. Try adding an extra $10 or $25 a month to see what bearing it has on the total interest you'll pay on one or more of your loans Alternatively, you can add an extra payment each year, or an extra lump sum amount on a specific date. Or, you can try shortening the payoff period (to say, 3-5 years) to see the impact it will have on the total interest you'll pay.

   After playing with the "Add extra payments" option, do you think you'll employ any of these strategies to pay down the debt quicker? Give me your thoughts on it.

   I plan on increasing my monthly payments by $10-$15 if it is financially possible. This brings the total interest down to a maximum of $1,144.19, which is significantly less than the initial total interest of $1,481.92. This is over a $300 difference, and seems like a great strategy to lower the total interest I have to pay overtime. This will definitely help with my debt management.

For questions 5-8 look to see if any of the articles are applicable to your situation. If they are, read and reflect on the articles. If none of the articles are, choose AT LEAST two articles and reflect on what you learned.

5) **If you have so many loans that making separate payments will be administratively overwhelming**, you may want to consider doing student loan consolidation. The interest rate on the consolidation will be the weighted average interest rate on all of your loans. Read the article here, and if desired, use the calculator to figure out your weighted average interest rate. https://www.nerdwallet.com/article/loans/student-loans/consolidate-student-loans WILL REFLECT

   _X_ Not applicable- I don't have TOO many different loans
   ___Applicable: read the article. List one thought from reading it

I have known about this, but I hadn't formally read about it. My parents have consolidated their loans, as they had to take many out for higher education. Currently, this doesn't seem like something I need to do, but it is cool to see that you can knock down some interest rates to an average value if necessary. Seeing the inner workings of this written out is helpful in understanding what my parents would've discussed when consolidating loans years ago.

6) **If you have PRIVATE loans**, you may want to refinance them IF YOU CAN GET A LOWER RATE. Read the article here, and if desired, use the calculator to play around with potential refinancing. https://www.nerdwallet.com/article/loans/student-loans/student-loan-refinance-calculator

_X_ Not applicable- No private loans
___Applicable: read the article. List one thought you had from reading it

7) **If the monthly loan payment under the standard 10-year plan will be too excessive** to handle, then you may want to think about repaying federal student loans under alternative payment plans. For example, you may want to use the "graduated repayment plan", where payments start lower, but get larger every 2 years. Alternatively, there are income -driven plans that only require you to pay 10% of your discretionary income each month but stretch out the length of the loan over 20-25 years. Keep in mind that you'll pay more TOTAL interest if you use a graduated plan or an income-driven plan because you are paying down the loan balance more slowly. The various payment plans can be found here: https://studentaid.gov/manage-loans/repayment/plans

_X_ Not applicable- I'll be able to financially handle the standard 10-year plan
___Applicable: read the website. List one repayment plan that might work for you

8) **Finally, if you are thinking about Public Service** as a path to federal loan forgiveness, read the following link about what qualifies. https://studentaid.gov/manage-loans/forgiveness-cancellation/public-service. WILL REFLECT

_X_ Not applicable- I'm not planning on a public service career path
___Applicable: read the website. List one thought you had from reading it

I had no idea that this was an option. Its cool to see that the government does even a little to try to repay the insane debt held by public servants. While this isn't applicable to me, I can see it being very useful for people in that situation. It doesn't seem to be too hard to qualify, you just need a certain position and to hit the 10-year payment plan once. This is great as it doesn't put public servants above the general public immediately but gives them a way out eventually. I'm sure many people would be happy to see this implemented in other jobs.